

BARCLAYS GLOBAL FINANCIAL SERVICES CONFERENCE



Doug Peterson – President & CEO

September 8, 2014

McGraw Hill Financial



Comparison of Adjusted Information to U.S. GAAP Information

This presentation includes adjusted financial measures that are derived from the Company's continuing operations. This non-GAAP information is provided in order to allow investors to make meaningful comparisons of the Company's operating performance between periods and to view the Company's business from the same perspective as Company management.

The Company's earnings release dated July 29, 2014 contains exhibits that reconcile the differences between the non-GAAP measures and comparable financial measures calculated in accordance with U.S. GAAP.

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"Safe Harbor" Statement Under the Private Securities Litigation Reform Act of 1995

This presentation contains forward-looking statements, including without limitation statements relating to our businesses and our prospects, new products, sales, expenses, tax rates, cash flows, and operating and capital requirements that are made pursuant to the safe harbor provisions of the Private Securities Litigation Reform Act of 1995. These forward-looking statements are intended to provide management's current expectations or plans for our future operating and financial performance and are based on assumptions management believes are reasonable at the time they are made.

Forward-looking statements can be identified by the use of words such as "believe," "expect," "plan," "estimate," "project," "target," "anticipate," "intend," "may," "will," "continue" and other words of similar meaning in connection with a discussion of future operating or financial performance. These statements are not guarantees of future performance and involve certain risks, uncertainties and assumptions that are difficult to predict; therefore, actual outcomes and results could differ materially from what is expected or forecasted. These risks and uncertainties include, among others:

- worldwide economic, financial, political and regulatory conditions;
- currency and foreign exchange volatility;
- the effect of competitive products and pricing;
- the level of success of new product development and global expansion;
- the level of future cash flows;
- the levels of capital investments;
- income tax rates;
- restructuring charges;
- the health of debt and equity markets, including credit quality and spreads, the level of liquidity and future debt issuances;
- the level of interest rates and the strength of the capital markets in the U.S. and abroad;
- the demand and market for debt ratings, including collateralized debt obligations, residential and commercial mortgage and asset-backed securities and related asset classes;
- the state of the credit markets and their impact on Standard & Poor's Ratings Services and the economy in general;
- the regulatory environment affecting Standard & Poor's Ratings Services and our other businesses;
- the likely outcome and impact of litigation and investigations on our operations and financial condition;
- the level of merger and acquisition activity in the U.S. and abroad;
- continued investment by the construction, automotive, and computer industries;
- the strength and performance of the domestic and international automotive markets;
- the volatility of the energy marketplace; and
- the contract value of public works, manufacturing, and single-family unit construction.

We caution readers not to place undue reliance on forward-looking statements

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Growth and Value Plan Delivered Great Returns

	2011*	2013	Change
Revenue (\$M)	\$6,246	\$4,875	-22%
Adjusted Operating Profit (\$M)	\$1,498	\$1,602	+7%
Adjusted Operating Margin	24%	33%	+9 pts
Adjusted Diluted EPS	\$2.91	\$3.33	+14%
Capex (\$M)	\$277**	\$117	-58%

* Includes McGraw-Hill Education

** Includes investment in prepublication costs

Publishing Businesses Divested

BusinessWeek

(2009)

**McGraw-Hill
BROADCASTING**

(2011)

**McGraw-Hill
Education**

(2013)

**AVIATION
WEEK**
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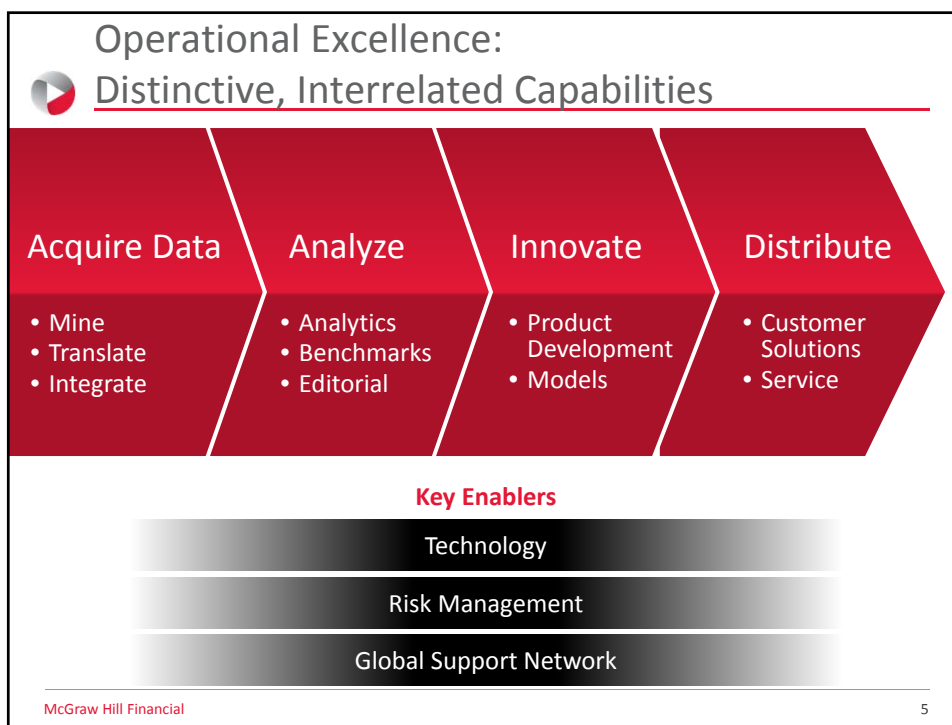
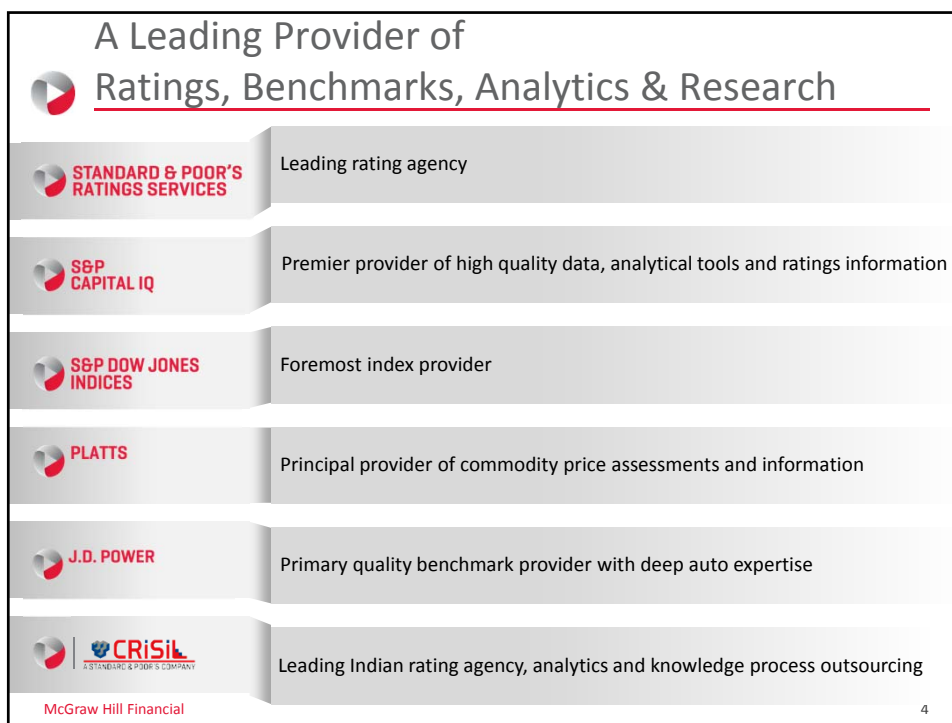
(2013)

Reviewing Strategic Alternatives

**McGraw Hill
CONSTRUCTION**
McGraw Hill Financial

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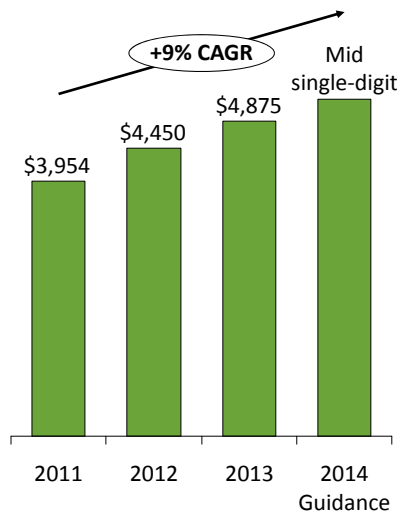
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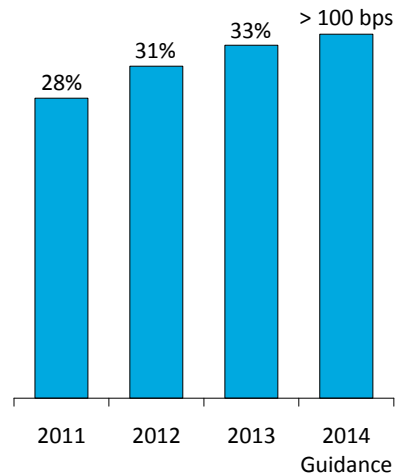


MHFI: A Proven Track Record of Growth

Annual Revenue Growth



Adjusted Operating Margin



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Growth & Performance Goals for 2014–2016

Creating Growth & Driving Performance

- Set annual growth goals:
 - Mid to high single-digit revenue growth
 - Sustained margin expansion
 - Mid teens EPS growth
 - ~\$1B per year free cash flow
- Maintaining disciplined capital allocation:
 - Continue to pursue attractive acquisitions
 - Sustain dividend growth and share repurchases
- Shifting from a holding company to an active management model
- Completing portfolio rationalization with evaluation of strategic alternatives for McGraw Hill Construction
- Targeting at least \$100 million in productivity savings

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An Exceptional Investment Opportunity



LEADING BRANDS



UNPARALLED ANALYTICS



TRULY GLOBAL



**COMPELLING
FINANCIAL ADVANTAGES**

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Secular Market Trends Position MHFI for Sustained Growth



Significant debt maturities will lead to strengthened issuance



Major refinancing required for infrastructure



Capital markets in emerging countries continue to develop



Increased investor sophistication requires real-time data and analytics



Assets continue to shift to index-related investing



Daily commodity price assessments to deliver transparency and offset volatility



Automotive market strength in Asia with rebound in the Americas

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A Truly Global Company



~18,000 Employees

30 Countries

95 Global Offices

North America

Headcount 6,000

Revenue \$ 3.1B

EMEA

Headcount 2,000

Revenue \$ 1.2B

Asia Pacific

Headcount 9,500

Revenue \$ 0.5B

Latin America

Headcount 500

Revenue \$ 0.1B

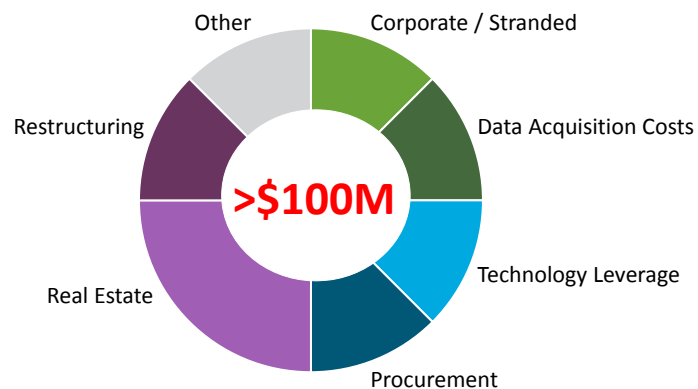
Revenue by Region as of 12/31/2013;
Other totals as of Aug 2014

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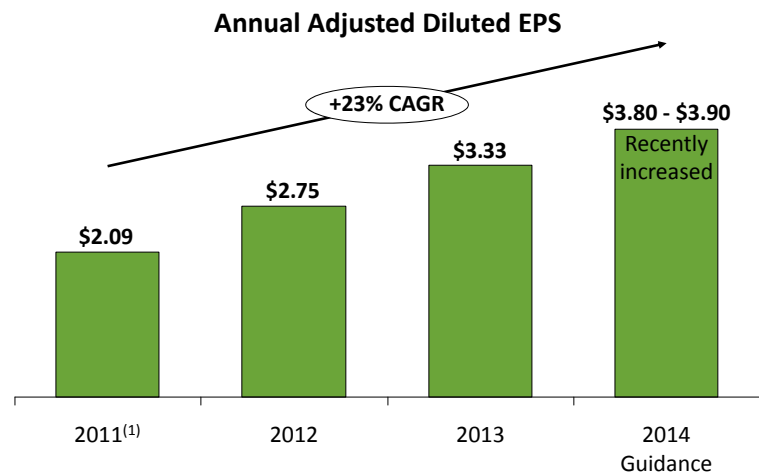
New Productivity Target - Initiatives Underway

2014–2016 Cost Reduction Initiatives





MHFI: Double-Digit Earnings Growth



Anticipate free cash flow of approximately \$1 billion in 2014

(1) 2011 adjusted EPS excludes gain on divestiture of Broadcasting

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MHFI: 1H 2014 Results

(\$ in millions)

	1H 2014	1H 2013	Change
Revenue	\$2,581	\$2,431	+6%*
Adj. Operating Profit	\$916	\$845	+8%
Adj. Operating Margin	35.5%	34.8%	+70 bps
Adj. Diluted EPS	\$1.95	\$1.72	+13%

* Organic growth was 8% excluding lost revenue from 2013 portfolio rationalization

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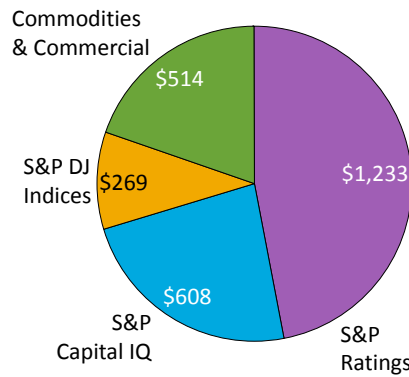
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1H 2014 Results by Line of Business

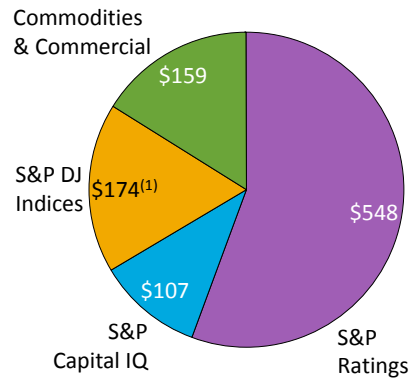
Revenue: \$2,581M

(\$ in millions)



Adj. Segment Op. Profit: \$988M

(\$ in millions)



1) Operating profit attributable to the noncontrolling interest of the S&P Dow Jones Indices joint venture was \$46 million
Note: Revenue chart excludes consolidating adjustments

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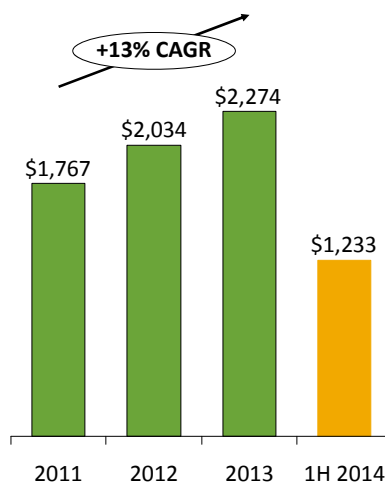


S&P Ratings – Financial Snapshot

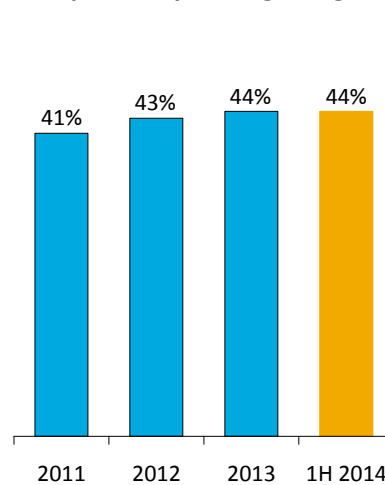


STANDARD & POOR'S
RATINGS SERVICES
McGraw Hill Financial

Revenue (\$ in millions)



Adjusted Operating Margin

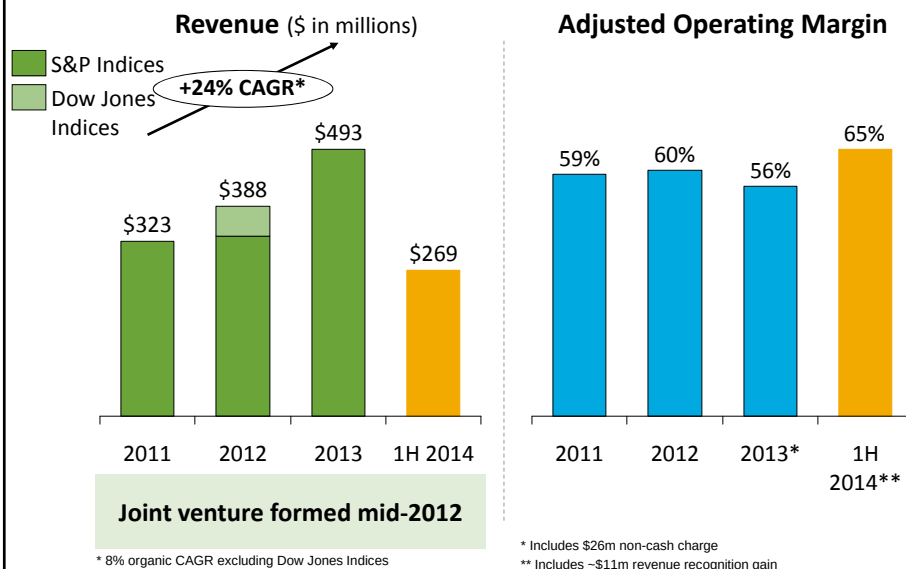


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- **Well positioned to capitalize on opportunities provided by structural changes in capital markets:**
 - Developing capital markets
 - Bank deleveraging in developed markets
 - Recovery in structured finance
- **1H 2014 results driven primarily by**
 - Strength in frequent issuer programs, surveillance fees, bank loan ratings, Rating Evaluation Service and within structured products ABS and CLOs
- **Post-financial crisis litigation continues**





S&P Dow Jones Indices



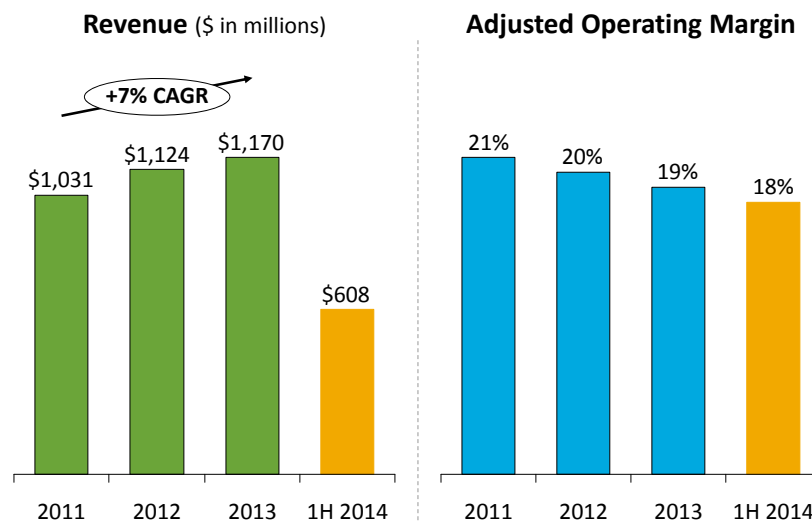
- **Revenue generated from:**
 - ETF and mutual fund contracts
 - Licensing of indices for derivative trading
 - Profit sharing with exchange partner
 - Data subscriptions
- **1H 2014 results driven by:**
 - Assets under management in ETFs which increased 32% to a record \$719 billion at end of the quarter
 - Margin benefit from purchase of intellectual property and refined revenue recognition of certain products

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S&P Capital IQ – Financial Snapshot



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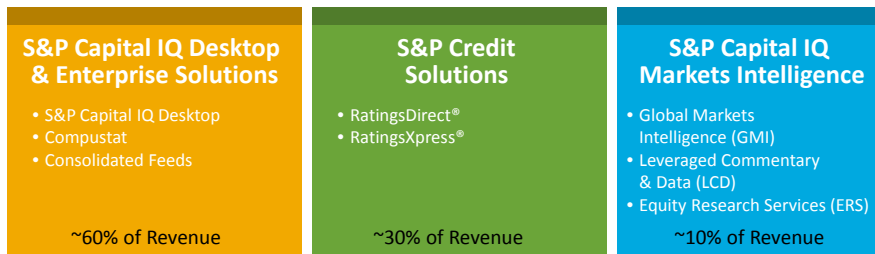
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S&P Capital IQ



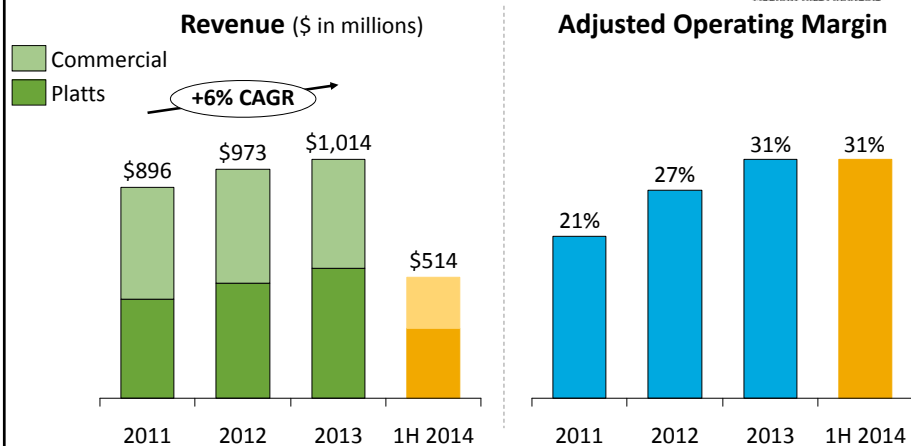
- Revenue generated from:



- 1H 2014 results driven by:
 - Strong growth of S&P Capital IQ Desktop, RatingsXpress®, Leveraged Commentary & Data (LCD)



C&C Markets – Financial Snapshot



Comparisons impacted by the sale of Aviation Week in August 2013



Commodities & Commercial (C&C) Markets

Premier source of benchmarks, high-value information, data, and analytic services



PLATTS
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- Revenue generated from subscriptions and licensing for derivative trading
- Thousands of daily price assessments
- Oil, gas, petrochemicals, steel, agriculture, etc.



J.D. POWER
McGRAW HILL FINANCIAL

- Revenue generated from subscriptions, proprietary research, and brand licensing
- J.D. Power expanding rapidly in Asia-Pacific



McGRAW HILL CONSTRUCTION
McGRAW HILL FINANCIAL

- **1H 2014 results driven by:**
 - Double-digit growth of both Platts and J.D. Power
- **Evaluating strategic alternatives for McGraw Hill Construction**

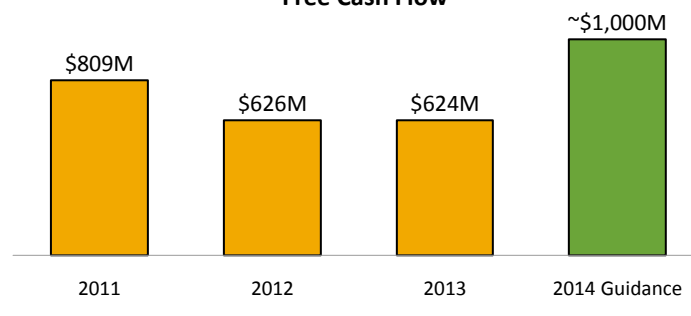
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Strong Cash Flow Enables Financial Flexibility

Free Cash Flow



Capital Expenditures

Year	Capital Expenditures (\$M)
2011	\$92M
2012	\$97M
2013	\$117M
2014 Guidance	~\$125M

2014–2016 free cash flow goal: ~\$1 billion per year

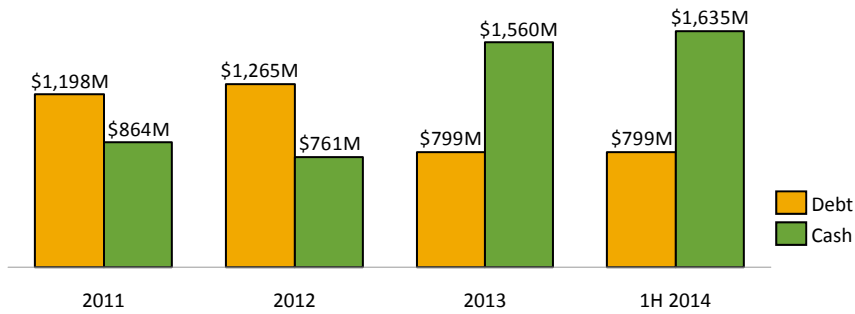
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Enhanced Balance Sheet Strength

Year-End Debt & Cash Positions



Debt / EBITDA

1.0x 0.8x 0.5X



Investing to Expand Portfolio: 2011–2014 MHFI Transactions

S&P Dow Jones Indices

**S&P DOW JONES
INDICES** (2012)

S&P Capital IQ

cma (2012)

QUANT (2012)

R² FINANCIAL (2012)

Commodities (Platts)

BENTEK Energy (2011)

Steel Business Briefing (2011)

KINGSMAN (2012)

Eclipse Energy Group (2014)

Standard & Poor's Ratings Services

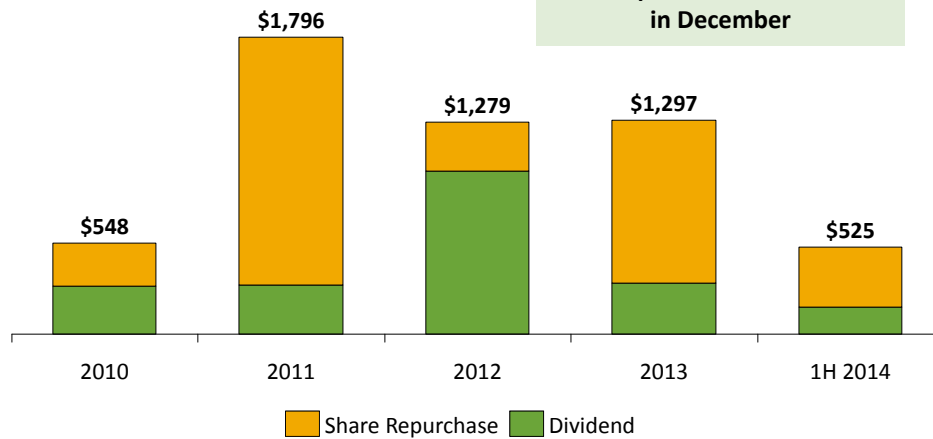
COALITION (2012)

CRISIL (2013)
A Standard & Poor's Company



Returning Substantial Cash to Shareowners

(\$ in millions)



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- A new company with a 125-year heritage – focused on growth and performance
- Track record of solid growth and margin improvement
- Delivering growth potential with a focused, inter-related portfolio
- 2014 guidance indicates strong performance:
 - Mid single-digit top-line growth
 - Adjusted diluted EPS guidance of \$3.80 – \$3.90
- Strong balance sheet and cash flow enables continued investment while returning cash to shareowners
- Well positioned to sustain growth

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